

LEASE AGREEMENT

This lease agreement was made on 12/04/2024, in Nicosia (hereinafter referred to as "**this/the present Agreement**"),

BY and BETWEEN:

NARGILIA LTD, a company incorporated and registered in Cyprus with company registration number HE371139 and registered address at 3 Ymittou str, 4045 Germasoyas, Limassol, (hereinafter referred to as the "**Owner**"),

and

ARNAL VERDE LTD, a company incorporated and registered in Cyprus with company number HE 420973 whose registered office is at 1 Gregori Afxentiou Street, Pallouriotissa 1040, Nicosia, (hereinafter referred to as the "**Lessee**") on the other hand

Hereafter collectively and jointly referred to as the "**Contracting Parties**" or "**Parties**" and separately as the "**Contracting Party**" or "**Party**".

1. PREAMBLE

Whereas the Owner is the legal owner and/or holder of the immovable property as described in **APPENDIX A** to this Agreement, (hereinafter referred to as "**the Property**") and reflected in the title deed attached hereto as Appendix B.

Whereas the Property has been and/or will be permitted and/or licensed by the competent authorities for the establishment and operation of Photovoltaic Park(s) therein.

Whereas the Owner wishes to lease the Property to the Lessee and the Lessee wishes to lease the Property from the Owner, for the purposes of establishing and operating Photovoltaic Park(s) under the terms and conditions of this agreement.



IT IS AGREED AS FOLLOWS:

2. DEFINITIONS

"Lease Period": means the period of twenty-five (25) consecutive years from the date of this Agreement, i.e., from 12/04/2024 until 11/04/2049.

"CERA" means the Cyprus Energy Regulatory Authority, which was established and operates under the Electricity Market Regulation Law of 2003 to 2017, as in force from time to time.

"Photovoltaic Parks" means power generation systems with photovoltaic panels.

3. INTERPRETATION

3.1. The Preamble and the Appendixes of this Agreement shall form an integral part of this Agreement.

3.2. The language to be used in and for the interpretation of this Agreement shall be English.

3.3. Singular words include the plural and vice versa, where the context requires it.

3.4. All terms of this Agreement are material and essential.

3.5. The nullity of any provision in this Agreement shall not result in the total nullity of this Agreement.

3.6. Breach of any term of this Agreement shall result in the obligation to pay statutory damages.

4. PURPOSE

4.1. The purpose of this Agreement is to lease the Property to the Lessee, under the terms and conditions hereof, for the Lease Period, in order for the Lessee to install and operate in the Property, the Photovoltaic Park(s) licensed by CERA **as described in APPENDIX A** (hereinafter referred to as the **"Project"**). For this purpose the Lessee

will arrange and will be responsible for all necessary equipment, its supporting facilities, including the coverage of the construction costs of the necessary road network, the costs that will be required for its connection to the network of the Electricity Authority of Cyprus (EAC), as well as any other infrastructure works that may be required by the competent Authorities.

5. DURATION OF THIS AGREEMENT

- 5.1. The Parties agree that the duration of this Agreement shall commence upon the signing of this Agreement and shall be terminated at the expiration of the Period of Use of Property unless the Parties mutually agree in writing otherwise.
- 5.2. In case the Parties wish to renew and/or extend beyond the Lease Period, the renewal and/or extension must be made in writing, following a written request by either of the Parties at least eighteen (18) months before the end of the Lease Period and written acceptance of the request by the other Party at least within (4) four months of receipt of the above written request.

6. LEASE AMOUNT

- 6.1. The Parties agree that the rental amount for the leasing of the Property shall be the amount per annum, plus VAT if applicable (hereinafter referred to as the "**Annual Fee**") as shown in **APPENIX A** (the "**Lease Amount**").
- 6.2. The Annual Fee shall be subject to an annual increase of 2%, starting from the third year of the Lease Period.
- 6.3. The Lease Amount shall be prepaid every year to the Owner, for each following year of the Lease Period, except for the payment for the period of the first two years of Lease Period, which shall be made in accordance with cl. 6.4 of this Agreement.
- 6.4. The Lessee shall pay to the Owner the Lease Amount for the first two years of the Lease Period, at the earliest of the following events: (a) upon expiry of seven (7) months from the execution of this Agreement or (b) within fifteen (15) business days from the issuance of the Planning Permit (hereinafter the "**First Payment**").

6.5. On the anniversary of every consecutive year after the conclusion of this Agreement (starting from the second anniversary), the Lessee shall pay to the Owner the Lease Amount as adjusted by the provisions of clause 6.2 above ("**Date of Payment**").

6.7. In the event that the Lessee fails to pay the Owner the Lease Amount within ninety (90) business days from the Date of Payment, the Lessee shall be in breach of this Agreement. In such event the Owner may legally terminate this Agreement and the provisions of Clause 13 will apply accordingly. The provisions of this clause shall not apply where the Lessee notifies the Owner of the delay in advance and requests for a grace period and the Owner approves the grace period for the payment, such approval shall not be unreasonably withheld.

6.8. On the second anniversary of the conclusion of this Agreement or on the date of starting the operation of the **Photovoltaic Parks** (depending on which date comes earlier), in addition to the annual payment, the Lessee shall also pay to the Owner the amount equal to the First Payment, as a guarantee for the compliance of the Lessee with the terms and conditions of this Agreement (hereinafter the "**Guarantee Payment**"). The amount of the Guarantee Payment shall be returned to the Lessee at the expiration of the Lease Period of Property provided that the Lessee has fully complied with the terms and conditions of this Agreement.

7. AREA ADJUSTMENT

7.1. The area and the exact layout of the Project may be adjusted based on the final design and on-site construction, based on the permits that have been issued or that may be modified concerning the Project.

8. PAYMENTS

8.1. The Parties agree that the Lease Amount and the Guarantee Payment shall be paid as per clause 6 above and shall be transferred to a bank account designated by the Owner which shall be notified in writing to the Lessee by the Owner upon the signing this Agreement. The designated bank account may be changed by the Owner at any time upon written notification to the Lessee.

9. OWNER OBLIGATIONS AND RIGHTS

- 9.1. Provided that the Lessee complies with his obligations provided by this Agreement, the Owner shall allow the Lessee, without any disturbance, to exclusively use the Property for the purposes of the Project.
- 9.2. The Owner agrees that he is obliged during the Lease Period to maintain the Property in its current condition, free from any lien, clear from any claim and/or use by third parties and/or without any reason for which the Lessee may be prevented from constructing and operating the Project.
- 9.3. The Owner is obliged to deliver the Property, in vacant possession and use, at the date of commencement of the Lease Period or on another date that the Parties may mutually agree in writing.
- 9.4. The Owner agrees and undertakes to give all required consents, and/or approvals for the licensing of the Project in his capacity as Owner, as required by the competent authorities.
- 9.5. The Owner shall not be entitled to assign and/or transfer his rights and obligations deriving from the Agreement to any third party without the prior written consent of the Lessee and only after ensuring that the assignee/transferee shall adhere to the terms of this Agreement as to not affect the operations and business continuity of the Lessee and provide evidence that the Guarantee Payment has been transferred to the assignee/transferee.

10. LESSEE OBLIGATIONS AND RIGHTS

- 10.1. The Lessee agrees to use the Property during the Lease Period solely for the purpose of the Project Lessee, unless otherwise agreed with the Owner.
- 10.2. All costs for the construction and operation of the Project will be paid by the Lessee .
- 10.3. The Lessee shall bear full responsibility for, and cover all costs associated with, the maintenance and repair of all movable and immovable structures to be constructed and/or installed in the Property, as well as the movable equipment situated on it. This

shall be carried out in strict compliance with the relevant laws and regulations governing the necessary licenses for the Project's operation.

Throughout the duration of this Agreement, the Lessee has the right, at its own expense, to obtain and maintain in force a relevant insurance coverage, including property insurance and business interruption insurance, and the Owner shall take reasonable steps to assist if so required by the Lessee.

10.4. The Lessee undertakes to strictly follow the provisions of all relevant laws and regulations in force from time to time, including those related to environmental issues, as well as any other obligations imposed by the applicable legislation regarding the Lessee's activity in it.

10.5. The Lessee releases and indemnifies the Owner from any civil or criminal liability and undertakes and guarantees to cover any loss and/or damage and/or fine and/or penalty and/or execution of an order of a court or competent judicial body, which may be borne by the Owner due to the Lessee's non-compliance with the applicable legislation or due to any Lessee's actions that may have caused damage to the Owner or to any third party.

10.6. The Lessee agrees that in the event of a change in its legal form, or any change in the current corporate and/or shareholding structure of the Lessee, the Lessee shall notify the Owner, as soon as reasonably practicable from the date of such change. The Lessee also agrees that in no case, any such change will result in a Sanctioned Person becoming a shareholder, director, manager, employee, associate of the Lessee and/or owner of any type of interest and/or right in the Lessee or to be in any other way related to the Lessee.

10.7. The Lessee shall be entitled to assign and/or transfer his/her rights and obligations deriving from the Agreement only after obtaining the prior and written consent of the Owner and only after ensuring that the assignee/transferee shall adhere to the terms of this Agreement.

11. Use of Water, Drillings and Springs

11.1. Subject to obtaining the relevant regulatory approvals and permits, the Lessee shall have the right to request from the Owner permission to drill boreholes and utilize the water and springs located or deposited under the surface of the Property for the sole purpose of the Project. It is understood and agreed that all actions and expenses for the construction of the necessary infrastructure for the pumping and distribution of

such water and springs shall be borne exclusively by the Lessee and the Owner assumes no responsibility for the suitability of the water and springs and/or any action and/or costs related to this matter.

- 11.2. The Lessee shall be responsible for obtaining all necessary permits, from the competent authorities, for the drilling, pumping and extracting of water and springs located under the surface of the Property and the Owner is obliged to, without any financial or other charge, sign all necessary documents and/or consents, which will be necessary and/or required by any competent authority by the Lessee to obtain such permits and/or licenses.

12. REGISTRATION AND MORTGAGE OF AN AGREEMENT

- 12.1. The Parties expressly agree that this Agreement constitutes a long-term lease agreement and can be registered in the Land Registry in accordance with the provisions of section 65 of the Immovable Property Law (Cap.224), as applicable, following the receipt of the First Payment by the Owners.

13. TERMINATION

- 13.1. This Agreement may be terminated before its expiration by either Party in case of violation or breach of any term of this Agreement by the other Party, by giving a six-month notice. In such event, the innocent party shall be entitled to compensation which shall be calculated taking into account actual disbursements directly connected to the breach of the defaulting Party plus the Lease Amount for the period of two years (hereinafter the **"Basic Compensation"**).
- 13.2. Without prejudice to clause 13.1 above, this Agreement is also terminated due to the expiration of Lease Period, or by mutual written agreement of the Parties.
- 13.3. In case of termination of this Agreement pursuant to clauses 13.1. and 13.2. above, the Lessee shall immediately deliver to the Owner the exclusive possession of the Property, clean from any Equipment.
- 13.4. In the event that the Lessee enters into liquidation proceedings, before the tenth (10th) anniversary of this Agreement then, the Owner shall have the right to terminate this Agreement and be entitled to the Basic Compensation, and Clause 13 shall apply accordingly as in the case of a breach of this Agreement by the Lessee.

- 13.5. Where this Agreement is terminated pursuant to Clause 13.4 the Owner shall have the option to purchase the Equipment from the Lessee at a price accepted by the liquidator.
- 13.6. The Lessee has the right to terminate this Agreement unilaterally in case the Planning Permissions in relation to the Photovoltaic Parks will not be obtained by the end of sixth month from the conclusion of this Agreement. In such event, neither party shall be entitled to any kind of compensation, including but not limited to expenses, losses, damages, fines, etc.
- The Lessee's right provided for in this cl. 13.6. becomes invalid if the Lessee has not exercised it within 30 (thirty) days from the end date of the sixth month from the date of conclusion of this Agreement.
- 13.7. Upon termination of this Agreement pursuant to this Clause 13, the Lessee shall take all reasonable steps, as soon as reasonably practicable, to cancel and remove the registration of this Agreement from the Land Registry pursuant to Clause 12.

14. GOVERNING LAW AND ARBITRATION

- 14.1. This Agreement shall be governed by the Laws of the Republic of Cyprus and any disputes shall be resolved by arbitration procedure provided for in the Arbitration Law (Cap 4).
- 14.2. The place of arbitration shall be Nicosia, Cyprus and the language of the arbitration proceeding shall be English. The decision of the arbitrator shall be rendered in writing, and judgment on such award may be entered in any court of competent jurisdiction.
- 14.3. Except as otherwise provided below, any dispute arising out of or in connection with the interpretation, application, or execution of this Agreement shall be referred for study and decision to an Arbitrator appointed by both contracting Parties within one week from the date of the decision to refer the matter to arbitration. If the contracting Parties disagree on the choice of Arbitrator, the dispute shall be referred for review and decision to two Arbitrators, one appointed by the Lessee and the other by the Owner, no later than one month from the date on which such appointment was requested by one of the contracting Parties. In case of refusal or omission by the other contracting Party to appoint an Arbitrator within one month, then the Arbitrator appointed by the other Party shall be deemed a sole Arbitrator appointed jointly, who shall be entitled to decide on the dispute without the need for another Arbitrator.

14.4. In the event that the two appointed Arbitrators disagree, a third Arbitrator shall be appointed by the two Arbitrators appointed by the two contracting Parties as Arbitrators, and this third Arbitrator shall convene with the two Arbitrators and preside over their meetings. The decision of this body, comprising three Arbitrators, shall be issued no later than three months from the date of the Arbitrators' appointment and shall be binding on both contracting Parties. Persons who may be appointed as arbitrators should be suitably qualified and preferably with international experience.

16. AMENDMENT

This Agreement may be amended with the written agreement of both Parties. However, any amendment of the terms of this Agreement may only be made in writing and shall be signed by both Parties, expressly excluding any amendment by oral Agreement.

17. FORCE MAJEURE

The Parties understand and acknowledge that cases of Force Majeure such as war, coup, natural disasters (including but not limited to earthquakes, storms, hurricanes, fire, tornadoes, explosion and flood) in the area where the Property and/or part thereof is located, shall not entitle the Parties to terminate the agreement but the Lessee shall not pay for the period of the Force Majeure and/or its circumstances and this Agreement shall be extended for as long as time the Force Majeure lasted (for the purpose of doubt the price to be paid for the extension period would be that applicable during the period of the Above Violence). In the event that the Parties do not agree that Force Majeure circumstances apply, the matter shall be referred to arbitration.

18. WAIVER

18.3. The waiver by any Party of a right provided by a term of the Agreement shall not mean that it waives any other right under this Agreement and shall also not be construed as waiving the assertion of the same right if a breach of the same term is repeated.

18.4. No failure by any Party to exercise any Right and/or delay in exercising the right (except on specific days) or partial exercise of the right shall be deemed to prevent the exercise of further and/or other rights.

19. JURISDICTION

Subject to Clause 14 herein and where there is no resolution pursuant to Arbitration proceedings under Clause 14, the Parties agree to submit to the jurisdiction of the Courts of the Republic of Cyprus.

20. OTHER TERMS

20.3. For the whole Period of Use of Property the Lessee shall pay any kind of taxes fees, bills, duties, expenses, and any other charges in respect of the Property , the facilities that were to be constructed in it, whether these are payable by the Owner or by the Lessee, as well as any contribution and/or tax and/or fee imposed to the Owner by any authority. In case the Owner is called during to the Period of Use of Property to pay any fees or taxes or incur any other expenses in respect of the Property and the facilities to be constructed thereon, then the Lessee shall reimburse within thirty (30) calendar days the Owner for any amounts payable, charged in case of delay, with a charge for such delay, equal to the applicable legal interest.

20.4. All notices, demands and other communications required to be given pursuant to this Agreement shall be in writing and shall be served on a Party as specified below,; by email, by hand; by registered post; by fax which is automatically confirmed by the sender's fax machine to have been sent without error to the recipient's fax number; or by other electronic method of communication agreed in writing from time to time between the Parties. Notices or communications sent by registered post will be deemed to have been served on the date that such mail is delivered, or delivery is attempted. Notices or communications sent or fax will be deemed to have been served on the day of transmission if transmitted before 4.00 pm in the time zone of receipt but otherwise on the next day. In all other cases, notices and communications will be deemed to have been served on the day when they are actually received.

20.4.1. If to the **Owner**:

address: 1 Gregori Afxentiou Street, Pallouriotissa, 1040, Nicosia, Cyprus

email: marios@energyintel.com.cy and xenios@energyintel.com.cy

20.4.2. If to the **Lessee**:

address: 25 Afroditis, Office 101A&B, Floor 1, 1060, Nicosia, Cyprus

email: rvm@heliossystems.cy; nvv@heliossystems.cy

20.5. All costs of drafting and stamping this Agreement shall be borne by the Lessee.

20.6. Any payments that may be made by the Owner due to the Lessee's failure or refusal to fulfill his obligations under the provisions of this Agreement, signed between the parties, for the purposes thereof and for the implementation of the remedies to which the Owner will be entitled, shall be considered as Annual Fee debts for the License of Use of Property

THE DULY AUTHORIZED SIGNATORIES ACCEPT AND AGREE TO THE ABOVE PROVISIONS:

OWNER

NARGILIA LTD

Witnesses to the Owner's
signature

1.

[Signature]
Nargilia Ltd
ID 742986

2.

[Signature]
Nargilia Ltd
ID 948583



LESSEE

Arnal Verde Ltd

Witnesses to the Lessee's
signature

1.

[Signature]
Arnal Verde Ltd
ID 765724

2.

[Signature]
XENON XENON LTD
ID 589764

[Signature] Arnal Verde Ltd
[Signature] Vladimir Novikov
Director

APPENDIX A: CERA License, Property Description & Annual Fee for the First Year

CERA Number	PV Capacity KW	Sheet/Plan	Plot Number	Area	District	Annual Fee, First Year
E3521-2022	3,322	39/47	316	Shia	Nicosia	33,220



APPENDIX B

A handwritten signature in blue ink, consisting of a stylized 'A' followed by a 'W'.

Επαρχία : 1 ΔΕΥΚΕΙΑ

Δήμος/Κοινότητα : 100 ΣΙΑ

Ενορία : 00

Τοποθεσία : ΚΑΝΝΟΥΡΑ

Διεύθυνση :

Εκταση : Δεκάκια : 29 Τετρ. Μέτρα : 767

Εύνορα : Σπως φαίνονται στο επίσημο Κτηματοτικό σχέδιο

Αριθμός Εγγραφής
6/6245

Αναφορά Κτηματοτικού
Σχεδίου

Φύλλο : 39
Σχέδιο : 47
Τμήμα : 0
Τεμάχιο : 316
Κλίμακα : 1:5000

ΣΤΟΙΧΕΙΑ ΙΔΙΟΚΤΗΤΗ ΚΑΙ ΣΥΜΦΕΡΟΝ

Διακριτικός Αριθμός	Όνομα και Διεύθυνση	Μερίδιο
371139/3/21	NARGILIA LIMITED ΥΜΗΤΤΟΥ 3 , 4045, ΠΟΤΑΜΟΣ ΓΕΡΜΑΝΟΓΕΙΑΣ, ΔΗΜΟΣ ΓΕΡΜΑΝΟΓΕΙΑΣ, ΔΕΜΕΣΟΣ	ΟΛΟ

Ημερομηνία Εγγραφής : 09/04/2024

Αριθμός Φακέλου : 1/Π/1489/2024

ΠΕΡΙΓΡΑΦΗ ΑΚΙΝΗΤΗΣ ΙΔΙΟΚΤΗΣΙΑΣ

ΧΩΡΑΦΟΙ
ΕΛΙΕΣ : 4
ΑΜΥΓΔΑΛΙΕΣ : 1
ΧΑΡΟΥΠΙΕΣ : 1

Αξία Γεν. Εκτίμησης 01/01/2018: €321.500,00 01/01/2021: €321.500,00

ΣΗΜΕΙΩΣΕΙΣ

ΔΙΚΑΙΩΜΑΤΑ / ΔΟΥΛΕΙΕΣ

ΕΛΛΗΝΙΚΗ ΔΗΜΟΚΡΑΤΙΑ

ΥΠΟΥΡΓΕΙΟ ΕΣΩΤΕΡΙΚΩΝ

ΓΕΝΙΚΗ ΔΙΕΥΘΥΝΣΗ

ΤΜΗΜΑ ΚΤΗΜΑΤΟΛΟΓΙΟΥ ΚΑΙ ΧΑΡΟΜΕΤΡΙΑΣ

Σκηνικός

Χρυσιάλλα Κυριαγού

Ημερομηνία Έκδοσης: 09/04/2024

Για Διευθυντή Τμήματος Κτηματολογίου και Χαρομετρίας.

Βλέπετε τις σημειώσεις στην τελευταία σελίδα.

AW